

Before I leave the topic of changes we've seen, I want to mention one of the most significant: the downtrend in interest rates that has prevailed over the working lives of most of today's investors. In the 1970s, I took out a personal loan from a bank at "three-quarters over prime," and I've framed the slip from 1980 notifying me that the interest rate had risen to 22¼%. Forty years later, in 2020, I was able to borrow at 2%. The 2,000-basis-point decline in rates was the result of the low level of inflation over the period. Because lower rates mean higher discounted values for future cash flows—and less competition from bonds against other assets, enhancing the value of the latter—this rate decline was a massive tailwind behind the returns enjoyed by all investors, not just those in fixed income. We saw the return of inflation in 2021–2022, and corresponding drops in the prices of bonds and most other assets. Readers in future years will know more about the continuation of this trend and its ramifications than I do as of this writing.

Finally, if you've wanted to keep abreast of the fixed-income markets, you had to constantly learn new terminology. I'm confident Graham and Dodd would have no idea what today's investors are saying:

"I'm long duration," meaning "The duration of my portfolio is longer than average, meaning I'm betting that interest rates will fall and bond prices will rise."

"I'm short spreads," meaning "I believe the spread by which the yield on high yield bonds exceeds the yield on Treasury bonds—which results from perceived corporate credit risk—will increase in the future. That means the prices of risky bonds will fall."

"I'm long credit," meaning "My bond portfolio is overweighted in corporate bonds relative to government bonds, meaning I think positive trends in economic growth and corporate profits will cause corporates to outperform."

"I trade rates," meaning "I deal in government debt and anything related to it, such as inflation-indexed bonds, futures, forwards, options, swaps, and swaptions [don't ask]."